

REMEASUREMENT OF FOREIGN CURRENCY TRANSACTIONS

This attachment provides an illustrative example for application of the Accounting for Foreign Currency policy in remeasuring foreign currency transactions in the functional currency. For the example, assume the functional currency of one of our foreign entities (Foreign Entity A) is Euros and Foreign Entity A provides a loan of £100 to another Hilton entity (Foreign Entity B) on January 1, 20X1. The loan is denominated in British Pound Sterling (GBP) and bears an annual 10% interest rate. The loan does not qualify as a long-term-investment nature loan because we do anticipate settlement in the foreseeable future. Foreign Entity A does not have any operations other than the loan outstanding to the Foreign Entity B. Assume the following exchange rates of GBP to Euros shown below.

Exchange Rates of GBP to Euros	
January 1, 20X1	1.00
December 31, 20X1	1.00
Average Exchange Rate in 20X1	1.00
December 31, 20X2	1.50
Average Exchange Rate in 20X2	1.30

▲: The gain on foreign currency transactions is the plug needed to balance the financial statements after remeasurement. The 20X2 gain can be calculated as follows:

Remeasured net assets:	€180 (A)
Less remeasured equity:	
Common stock	€100 (B)
Beginning retained earnings	€ 10 (C)
Remeasured interest income	€ 13 (D)
	€123
Plug to gain on foreign currency transactions	€ 57

FOREIGN ENTITY A – REMEASURED FINANCIAL STATEMENTS

	Euros at 1/1/20X1	Euros at 12/31/20X1	Euros at 12/31/20X2	
Assets				
Note receivable (£100)	100	100	150	
Accrued interest	-	10	30	
Total assets	<u>100</u>	<u>110</u>	<u>180</u>	A
Liabilities				
Equity				
Common stock	100	100	100	B
Retained earnings (12/31/20X1)	-	10	10	C
Retained earnings (12/31/20X2)	-	-	70	
Total Liabilities and Equity	<u>100</u>	<u>110</u>	<u>180</u>	
Interest income		10	13	D
Gain on foreign currency transactions (plug)		-	57	▲
Net income		10	70	

ACCOUNTING TREATMENT IN 20X1

During 20X1, the £100 note accrues 10% interest due in GBP, which equates to £10 interest income for 20X1. Assuming interest is not paid in 20X1, the balances related to this note are remeasured by Foreign Entity A as follows:

- The £100 note receivable is remeasured at the current exchange rate at December 31, 20X1 of 1.00, resulting in €100.
- The £10 interest income is remeasured at the weighted average exchange rate for 20X1 of 1.00, resulting in €10.
- A receivable is accrued for the interest of £10 due to Foreign Entity A. The interest receivable is remeasured at the current exchange rate at December 31, 20X1 of 1.00, resulting in €10.

See above for Foreign Entity A's financial statements as of December 20X1, measured in Euros.

ACCOUNTING TREATMENT IN 20X2

During 20X2, the £100 note accrues 10% interest due in GBP, which equates to £10 interest income for 20X2. Assuming interest is not paid in 20X2, as of December 31, 20X2, Foreign Entity A is due interest of £20. The balances related to this note are remeasured by Foreign Entity A as follows:

- The £100 note receivable is remeasured at the current exchange rate at December 31, 20X2 of 1.50, resulting in €150.
- The £10 interest income is remeasured at the weighted average exchange rate for 20X2 of 1.30, resulting in €13.
- The interest receivable of £20 is remeasured at the current exchange rate at December 31, 20X2 of 1.50, resulting in €30.

The changes in exchange rates caused an upward fluctuation in the amount of Euros to be received by Foreign Entity A upon settlement of the loan, which results in a gain on foreign currency transactions for Foreign Entity A. The gain on foreign currency transactions is the plug needed to balance the financial statements after remeasurement.

See above for Foreign Entity A's financial statements as of December 20X2, measured in Euros.